intervention will be large and the market failure itself will be inadequately addressed. We are often better off living with the market failure, rather than trying to address it in an imperfect way.

Under conditions like those prevailing in Sweden, where state capacity is high, we would be more optimistic and set out to address many market failures. But under conditions of low state capacity, it would be efficient to choose a smaller class of problems worth solving.

By this reasoning, we would not do half the effort on addressing all the market failures that Sweden is fighting. The Indian state should not just be a mini-Swedish state. There would be many zeroes in the Indian optimization: We would try to go after a smaller set of market failures, where the welfare cost of the free market outcome is particularly large, and where the state capacity required in addressing the market failure is relatively small. Given our capacity constraints today, to quote Kaushik Basu, we have to engage in ‘libertarianism of necessity’.

## More intrusive interventions are more dangerous

When state capacity is low, there is a greater chance of making mistakes. In this case, the damage that can be caused by a more intrusive action by the state is greater.

When we live in a low-state-capacity environment, there is a greater chance that the government is wrong. In this case, we should favour small moves, small powers for the government, small punishments, small sums of money. The bigger and more dramatic the action, the greater is the harm inflicted upon society when government is wrong.

The phrase ‘the government is wrong’ seems like a sterile one. Our mental model may be one in which at random, there is a certain probability of making a mistake. However, the probability of being wrong is itself driven by the incentives of politicians and officials. Under conditions of low state capacity, an official has the power to raid any person, with weak checks and balances. Public choice theory teaches us that the government is